MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION November 2025

First SEMESTER

Skill Development Components (SDC) - MG1SDCAAT100 -

FUNDAMENTALS OF ACCOUNTING
(2025 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Part A
MCQ
Answer any 10 questions
Each question carries 1 marks

1. a) Transferring journal entries to ledger accounts

2. a) Journalizing transactions

3. a) Generally Accepted Accounting Principles

4. b) Acts as journal and ledger simultaneously

5. a) Returns of sold goods

6. a) Helps in tracking credit purchases

7. b) Transfer the net profit or loss to the Capital Account

8. b) Transaction is recorded in wrong class of account

9. b) Completely failing to record a transaction

10. a) Assets

11. b) Indirect incomes and expenses

12. b) To provide information about the financial position of a business

Part B
Short Essay Questions
Answer any 5 questions
Each question carries 6 marks

13.Differentiate Book-keeping and Accounting

Basis	Book-keeping	Accounting
Meaning	Recording of financial transactions systematically.	Interpreting, classifying, summarizing, and analyzing financial information.
Scope	Narrow—limited to recording and maintaining books.	Wider—includes analysis, interpretation, and reporting.
Objective	To maintain accurate and complete records.	To determine financial results and position for decision-making.
Stage	Primary stage of accounting.	Secondary stage after book-keeping.
Skills required	Basic recording skills.	Analytical and interpretative skills.
Outcome	Provides raw financial data.	Prepares final accounts and financial statements.

14. A business can maintain a **cash book** to record all cash receipts and payments on a daily basis. Every time cash is received, it is entered on the **debit side**, and every time cash is paid, it is entered on the **credit side**. The cash book acts as both a **journal (for recording)** and a **ledger (for posting)** for all cash transactions.

Features of a Cash Book:

1. **Acts as journal and ledger** — no separate cash account is needed.
2. **Contains debit and credit sides** for receipts and payments.
3. **Shows daily cash balance** which can never be negative.
4. **Includes contra entries** in case of transactions between cash and bank.
5. **May include discount columns** (in double/three-column cash books).

Advantages of a Cash Book:

1. **Simple and systematic recording** of all cash transactions.
2. **Saves time**—No need to post to a separate cash ledger account.
3. **Helps in cash management** as it shows daily cash balance.
4. **Useful for internal control** over cash receipts and payments.
5. **Reduces errors**, as entries are made immediately and chronologically.
6. **Helps in preparing financial statements** since cash balance is always available.

15. Double Entry System – Explanation, Advantages, and Limitations

Application of Double Entry System: A small business can use the **double entry system** to record all financial transactions by ensuring that **every transaction affects at least two accounts**—one **debit** and one **credit**.

Example: If the business purchases goods for cash: Purchases A/c — **Debit,** Cash A/c — **Credit**

This ensures that the accounting equation **Assets = Liabilities + Capital** always remains balanced.

Advantages of Double Entry System:

1. **Scientific and systematic method** of recording transactions.
2. **Ensures arithmetical accuracy** through trial balance.
3. **Detects and prevents errors and frauds.**
4. **Shows complete details** of each transaction through debit and credit.
5. **Provides true financial position** through preparation of balance sheet.
6. **Useful for decision-making** as it provides detailed financial information.

Limitations of Double Entry System:

1. **Costly and time-consuming** for small businesses.
2. **Requires trained personnel** with accounting knowledge.
3. **Complex for non-accounting users.**
4. **Cannot detect all types of errors**, such as errors of principle or omission.
5. **Requires consistent maintenance**, otherwise records become unreliable.

16.Simple Cash book

Date	Receipts	LF	amount	Date	Payments	LF	amount
1/1/24	Balance b/d		1,20,000	7/1/24	Rent		20,000
5/1/24	Arjun		3,00,000	15/1/24	Shyamaprasad		1,80,000
10/1/24	Sales		4,00,000	20/1/24	Furniture		50,000
				25/1/24	Salary		2500
				27/1/24	Purchase		3,00,000
				29/1/24	drawings		5000
				31/1/24	Balance c/d		2,62,500
			8,20,000				**8,20,000**
1/2/24	Balanceb/d		262500				

17. Role of a Petty Cash Book

A **Petty Cash Book** is used by a business to record **small, frequent cash payments** such as postage, stationery, refreshments, travel expenses, and minor repairs.
Instead of recording every small transaction in the main cash book, the business maintains a **separate petty cash system**, usually under the **imprest system**, where a fixed amount is given to the petty cashier for small expenses.The petty cashier records each expense under proper heads (postage, traveling, telephone, etc.) which makes tracking and controlling petty expenses simple and efficient

Advantages of a Petty Cash Book

1. Saves time for main cashier

2. Reduces workload

3. Better control through the imprest system

4. Proper categorization of small expenses

5. Minimizes errors

6. Provides accurate records of petty expenses

Importance of a Petty Cash Book

1. Ensures efficient handling of minor transactions

2. Improves internal control

3. Helps in budgeting and cost control

4. Facilitates smooth office operations

18.Trial balance

Particulars	**Debit**	**Credit**
Opening Stock	60500	
Purchases	90500	
Sales		137200
Purchase returns		1300
Sales returns	2200	
Drawings	4500	
Land and buildings	30000	
Furniture and fittings	8000	
Sundry Debtors	25000	
Sundry Creditors		45000
Cash in hand	3500	
Investment	10000	
Interest received		500
Commission received		3000
Wages	6000	
Carriage inwards	1500	
Postage and stationery	2500	
Capital(balancing figure)		**57200**
	244200	**244200**

19. Difference Between Trading Account and Profit and Loss Account

Basis	Trading Account	Profit and Loss Account
Purpose	To determine **Gross Profit or Gross Loss** from buying and selling of goods.	To determine **Net Profit or Net Loss** after considering all indirect incomes and indirect expenses.
Focus	Deals with **direct expenses and direct incomes** related to production or purchase of goods.	Deals with **indirect expenses and indirect incomes** related to administration, selling, and financing.
Items Included	Opening stock, purchases, direct expenses (wages, carriage inwards), sales, closing stock.	Salaries, rent, advertising, depreciation, interest, commission, and other indirect items.
Stage in Final Accounts	Prepared **first**, before Profit and Loss Account.	Prepared **after** the Trading Account.
Result Shown	Shows **Gross Profit or Gross Loss**.	Shows **Net Profit or Net Loss**.
Transfer of Balance	Gross Profit is transferred to **Profit and Loss A/c** credit side; Gross Loss to debit side.	Net Profit is transferred to **Capital A/c** (or retained earnings).
Nature	Measures production and trading efficiency.	Measures overall business performance.
Period Covered	For an accounting period (1 year).	Also for the same accounting period.

Part C

Answer any 2 questions

Each question carries 15 marks

20.Accounting is the **systematic process of identifying, recording, classifying, summarizing, and interpreting financial transactions** of a business to provide useful information to users for decision-making.

In simple words, accounting is the "**language of business**" that helps in understanding the financial position and performance of an organization.

Advantages of Accounting

1. Systematic Record of Transactions

2. Helps in Determining Profit or Loss

3. Shows Financial Position

4. Facilitates Decision-Making

5. Assists in Legal Compliance

6. Helps in Comparison

Disadvantages of Accounting

1. Ignores Qualitative Factors

2. Based on Estimates

3. Historical in Nature

4. Can Be Influenced by Personal Judgment

5. Possibility of Manipulation

Functions of Accounting

1. Identifying

Recognizing business transactions that can be measured in monetary terms.

2. Recording

Systematically recording all transactions in journals and books of accounts.

3. Classifying

Posting entries to appropriate ledger accounts for proper grouping.

4. Summarizing

Preparing Trial Balance, Profit & Loss Account, and Balance Sheet.

5. Interpreting

Analyzing and explaining financial data to users for meaningful decision-making.

6. Communicating

Sharing accounting information with stakeholders like owners, investors, creditors, and government.

7.Controlling

Helping management control costs, prevent fraud, and improve efficiency through budgets and internal checks.

21.Thriple coloumn cash book

Date	receipts	LF	Discount	Cash	Bank	Date	Payments	LF	Discount	Cash	Bank
3/1/24	Balanceb/d			60,000		3/1/24	Balance b/d				90,000
7/1/24	Sales			13,000		5/1/24	Salary			5,000	
9/1/24	Dharma		200	2400		6/1/24	Purchase			3,000	
11/1/2 4	Joy		400		3100	8/1/24	By Krishna				2,500
31/1/24	Balance c/d				89400	31/1/24	Balance c/d			67400	
			600	**75400**	**92500**					**75400**	**92500**
1/2/24	Balance b/d			67400		1/2/24	Balance b/d				89400

22. Which are the Closing entries related to Trading Account and Profit and Loss

Account?

Closing Entries Related to Trading Account

1. Transfer of Opening Stock

Trading A/c Dr.
To Opening Stock A/c

2. Transfer of Purchases

Trading A/c Dr.
To Purchases A/c

3. Transfer of Direct Expenses

(Examples: Wages, Carriage Inwards, Power, Freight)

Trading A/c Dr.
To Wages/Carriage Inwards/Other Direct Expense A/c

4. Transfer of Sales

Sales A/c Dr.
To Trading A/c

5. Transfer of Closing Stock

Closing Stock A/c Dr.
To Trading A/c

6. Transfer of Gross Profit (if any)

Trading A/c Dr.
To Profit & Loss A/c

7. Transfer of Gross Loss (if any)

Profit & Loss A/c Dr.
To Trading A/c

Closing Entries Related to Profit and Loss Account

1. Transfer of Indirect Expenses

(Examples: Salaries, Rent, Advertising, Depreciation)

Profit & Loss A/c Dr.
To Salaries/Rent/Advertisement/Depreciation A/c

2. Transfer of Indirect Incomes

(Examples: Commission Received, Interest Received)

Commission/Interest Received A/c Dr.
To Profit & Loss A/c

3. Transfer of Net Profit

Profit & Loss A/c Dr.
To Capital A/c

4. Transfer of Net Loss

Capital A/c Dr.
To Profit & Loss A/c

23.

Trading A/C &Profit and loss A/c For the year ended 31/12/2023

particulars	amount	particulars	amount
Opening stock Purchase Wages Carriage inward Gross profit c/d	10,000 30,000 8000 2000 32000	Sales Closing stock	70,000 12,000
	82,000		**82,000**
Rent Carriage outward Bad debt Net profit	5000 1000 500 25500	Gross profit b/d	32,000
	32,000		32,000

Balance sheet as on 31/3/2024

Liablities	Amount	Assets	Amount
Capital 50,000 Add: NetProfit 25500	75,500	Debtors 20,000 Less:Provision 1000	19,000
creditors	15,000	Closing stock	12,000
		Cash & Bank balances**(b.f)**	59,500
	90500		**90500**

1. **Gross Profit Margin** = Gross Profit / Sales × 100
   = 32,000 / 70,000 × 100 = **45.71%**

   → A very healthy gross margin: for every ₹100 of sales the business earns about ₹45.71 as gross profit (after direct costs).

2. **Net Profit Margin** = Net Profit / Sales × 100
   = 25,500 / 70,000 × 100 = **36.43%**

   → After indirect expenses, the business retains about ₹36.43 as net profit per ₹100 of sales — also strong.

3. **Return on Opening Capital (simple)** = Net Profit / Opening Capital × 100
   = 25,500 / 50,000 × 100 = **51.00%**